

The WalletConnect Network positions itself at the intersection of these needs, serving as a critical infrastructure layer between products and consumers. Its relay technology enables seamless connections between wallets (both desktop and mobile) and applications (web and mobile), providing users with choice and control over their digital interactions.

Furthermore, the Network’s decentralized database sets the stage for experiences previously not possible within the standards of the new internet. It allows for innovative applications and services that can leverage the benefits of decentralization while maintaining user-centric design principles.

Given the WalletConnect Network’s critical role in the web3 ecosystem, it is particularly susceptible to the risks associated with centralization. A centralized service, especially one offered for free, often comes with hidden costs - typically in the form of compromised privacy through data monetization or the risk of censorship through arbitrary offboarding. If bankrolled by an existing centralized entity, users might face privacy concerns due to potential data exploitation. Moreover, centralization creates a single point of failure, jeopardizing the Network’s resilience. The growing demand from the ecosystem, exemplified by wallets expressing interest in running nodes, further underscores the need and readiness for this transition.

The Network is designed to become more decentralized over time. This process involves a phased approach, gradually transitioning from a permissioned environment to a fully permissionless model. Throughout this evolution, the WalletConnect Network maintains its focus on user empowerment and security, helping it to remain a critical piece of infrastructure in the new internet landscape.

By facilitating secure, user-controlled interactions between applications and wallets, the WalletConnect Network is playing a pivotal role in enabling the transition to a more open, decentralized, and user-owned internet ecosystem.

3 WalletConnect Network Overview

The WalletConnect Network solves UX problems such as connecting users’ wallets to dapps in an end-to-end encrypted fashion. Beyond this, the Network promotes the use of standardized payloads to be used such as those defined by the Chain Agnostic Standards Alliance (CASA) which enables developers today to use the same interfaces no matter which network is used. As crypto reaches a more mainstream audience and serves Payments, KYC, and identity use-cases, this will be increasingly important as these are even less tied to specific networks than today’s use-cases.

Part of the beauty of the web is that its core data format, HTML, remains open. Microsoft and Adobe threatened this openness by forcing ActiveX and Flash onto users. The open web we have today was preserved through developers proactively building for the open web, and proactively downloading new browsers like Mozilla, despite Internet Explorer being pre-installed on Windows devices.